

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERNATIONAL EXPRESS TRUCKING, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND COSCO SHIPPING
(NORTH AMERICA) INC., AS AGENT FOR COSCO SHIPPING
LINES CO., LTD., *Respondents*.

DOCKET NO. 24-20

Served: March 10, 2025

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER GRANTING MOTION TO DISMISS¹

I. Background

Complainant International Express Trucking, Inc. (“IXT”), a motor carrier, alleges that Respondents COSCO Shipping Lines Co., Ltd. (“COSCO”), and ocean common carrier, and COSCO Shipping Lines (North America) Inc. (“COSCO N. Am.”), its agent, failed to issue invoices containing required information and charged IXT per diem charges in situations where chassis or return appointments were not available, or where port congestion prevented container return. Verified Complaint (“V. Compl.”) ¶¶ 9-10, Dkt. 1. These charges, which Respondents have purportedly refused to waive, allegedly amount to \$75,725. V. Compl. ¶¶ 8, 11-12. IXT contends that these charges do not incentivize freight fluidity and are therefore unjust and unreasonable practices in violation of the Shipping Act. V. Compl. ¶¶ 16-18; 46 U.S.C. § 41102(c).

On June 17, 2024, COSCO N. Am. filed a motion to dismiss, arguing that it is an agent for an ocean common carrier (COSCO), and not an ocean common carrier itself, and so is not subject to 46 U.S.C. § 41102(c), which applies to “a common carrier, marine terminal operator, or ocean transportation intermediary.” 46 U.S.C. § 41102(c). IXT filed an opposition, and COSCO N. Am. filed a reply. For the reasons set forth below, the motion is GRANTED, and the complaint is DISMISSED as to COSCO N. Am.

¹ This order will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service. 46 C.F.R. § 502.227.

II. Discussion

A. Motion to Dismiss Standard

Although the Federal Maritime Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure ("FRCP") will be followed in instances that are not covered by the Rules, to the extent that application of the FRCP is consistent with sound administrative practice. 46 C.F.R. § 502.12. COSCO N. Am.'s motion is premised on the argument that the Commission lacks jurisdiction to adjudicate IXT's claims against COSCO N. Am. because, as a non-common-carrier agent for a disclosed common carrier principal, it is not subject to the jurisdiction of the Commission. Mot. to Dismiss 5, Dkt. 9. The Commission looks to FRCP 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 6445041, at *4 (FMC Oct. 29, 2020). Under FRCP 12(b)(1), there are two types of jurisdictional attacks: (1) a factual attack, which challenges the existence of subject matter jurisdiction using material extrinsic from the pleadings, such as affidavits or testimony; and (2) a facial attack, in which a respondent's challenge is confined to whether the complainant has sufficiently alleged a basis of subject matter jurisdiction. *Stalley ex rel. United States v. Orlando Reg'l Healthcare Sys., Inc.*, 524 F.3d 1229, 1232-33 (11th Cir. 2008); *see also Osborn v. United States*, 918 F.2d 724, 729-730 (8th Cir. 1990).

COSCO N. Am. contends that its jurisdictional challenge is a factual attack since it relies on the Commission's records related to Organization Number 015614 to rebut IXT's claim that it is an ocean common carrier. Mot. to Dismiss 3-4. But IXT concedes this point, noting the complaint distinguishes between COSCO, the ocean common carrier, and COSCO N. Am., its agent. Opp'n to Mot. to Dismiss 4-5, Dkt. 10; V. Compl. ¶¶ 2, 14. Instead, IXT argues that the Commission has jurisdiction over the § 41102(c) claims against COSCO N. Am. as an agent for COSCO, relying on *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022). Opp'n to Mot. to Dismiss 3-4. Since there does not actually appear to be any factual dispute, I will treat the motion as a facial attack.

Where a respondent challenges the sufficiency of the allegations regarding subject matter jurisdiction, a court will employ the *Twombly-Iqbal* "plausibility" standard, which is the same standard used to evaluate facial challenges to claims under FRCP 12(b)(6). *Pena v. Ortiz*, 521 F. Supp. 3d 747, 750 (N.D. Ill. 2021). Under this plausibility standard, the Commission will dismiss a claim if the complainant fails to plead "enough facts to state a claim for relief that is plausible on its face." *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (*quoting Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court "to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Id.* (*quoting Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). The factual content includes the facts alleged in the complaint, documents attached to or incorporated by reference in the complaint, and matters subject to official notice (including judicially noticeable facts and "technical or scientific facts within the general knowledge of the Commission"). *Id.* at *41 n.1 (*citing Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

To allow the necessary inferences to be reasonably drawn, the complaint's factual allegations must be more than speculative, and must "nudge claims across the line from conceivable to plausible." *Id.* at *12 (*quoting Elemery v. Holtzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)). The plausibility standard is not a probability requirement – while actual proof of the alleged facts may be improbable, and recovery may seem remote and unlikely, the standard does not require the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible. *Id.* at *12.

While this standard does not require detailed factual allegations, it does require more than labels, conclusions, or a formulaic recitation of the elements of a cause of action. *Id.* The Commission need not accept as true legal conclusions nor draw inferences that are not supported by the allegations. *Id.* Legal conclusions can provide the framework of the complaint, but they must be supported by factual allegations. *Id.* at *13. The factual allegations needed to reach plausibility will vary depending on the complexity of the case and require the presiding officer to draw on judicial experience and common sense. *Id.*

B. Jurisdiction over COSCO N. Am. as agent of COSCO

IXT's complaint alleges violation of the Shipping Act, 46 U.S.C. § 41102(c), which is directed at specific entities:

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 U.S.C. § 41102(c). COSCO N. Am. argues that, since it is not a common carrier, this section does not apply to it and the Commission lacks subject matter jurisdiction over IXT's claims against it. Mot. to Dismiss 7.

COSCO N. Am. cites *Landstar Express Am., Inc. v. FMC*, in which the D.C. Circuit held that "an agent of [a non-vessel-operating common carrier] by definition is not a 'common carrier'" and therefore not subject to regulation as a common carrier under the Shipping Act. 569 F.3d 493, 498 (DC Cir. 2009). Statutory text binds federal agencies, and the Commission's jurisdiction depends upon the meaning and interpretation of the Shipping Act. *Id.* at 494, 496. As defined by the Shipping Act, a common carrier holds itself out to the general public to provide water transportation between the United States and a foreign country and assumes responsibility for that transportation from the port or point of receipt to the port or destination. *Id.* at 497. An agent providing services on behalf of a disclosed common-carrier principal is not holding itself out, because it holds out in the name of the common carrier. *Id.* (*citing* Restatement (Third) of Agency § 1.01 (Am. L. Inst. 2006) ("the agent shall act on the principal's behalf and subject to the principal's control"). Nor does it ordinarily assume responsibility since the principal bears the burden of liability. *Id.* (*citing* Restatement (Third) of Agency §§ 6.01 (agent for disclosed principal) and 7.03 (principal liability)).

While conceding that COSCO N. Am. is an agent and not a common carrier in its own right, IXT argues that the Commission does have subject matter jurisdiction over the claims against COSCO N. Am. based on *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.* Opp’n to Mot. to Dismiss 3. IXT argues that this case holds that the Commission may exercise “pendant personal jurisdiction” over the agent of a carrier for the purpose of determining whether it violated the Shipping Act. Opp’n to Mot. to Dismiss 3-4. After the Commission affirmed the Small Claims Officer’s order, *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2022 WL 18068977, at *4 (FMC Dec. 29, 2022), the D.C. Circuit vacated and remanded the case to the Commission. *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1118 (D.C. Cir. 2024). The Commission has since issued its order on remand, which “reincorporates its findings on jurisdiction,” among other findings that were not at issue before the D.C. Circuit. *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2025 WL 516256, at *13 n.2 (FMC Feb. 13, 2025).

COSCO N. Am. argues that *TCW* was wrongly decided, and that administrative agencies do not have the power to exercise “pendant personal jurisdiction” to adjudicate a § 41102(c) claim over an otherwise unregulated entity because no such power is conferred by the Shipping Act and because the Commission is not a court, and so cannot exercise the powers exercised by common law courts or the jurisdictional powers conferred on federal district courts by Congress. Reply to Opp’n to Mot. to Dismiss 5-7, Dkt. 11; *European Trade Specialists, Inc. v. Prudential-Grace Lines*, Docket No. 74-8, 16 S.R.R. 1031, 1035-1036 (FMC May 28, 1976) (“paring down” complainant’s claims, which were “heavily veiled in common law pleadings,” to those justiciable under the Shipping Act since “Commission does not exercise the authority of a court of law or of equity”); 28 U.S.C. § 1367 (conveying authority on district courts to exercise “supplemental jurisdiction over all other claims so related to claims in the action within [the courts’] original jurisdiction that they form part of the same case or controversy”). The briefing before the Commission in *TCW* did not directly address this issue (even though the Commission asked the Respondents to do so). *TCW*, Docket No. 1966(I), Order for Supplemental Briefing 2, Dkt. 3 and Respondents’ Supplemental Brief 18-20, Dkt. 4.

The clear factual distinctions between this case and *TCW* make it unnecessary to address COSCO N. Am.’s argument further. In *TCW*, the agent signed the agreement under which the disputed per diem charges were imposed as principal and not in any representative capacity. Docket No. 1966(I), 2021 WL 794708, at *14 (SCO Feb. 19, 2021). The SCO further found that it acted as a principal, pursuant to that agreement, to impose the disputed charges. *Id.* Under this factual scenario, the Commission agreed with the SCO’s finding that it had jurisdiction to determine if the agent violated the Shipping Act. There is no indication in *TCW* that the Commission intended its holding on jurisdiction to extend beyond such a scenario. And there are no allegations in this complaint, or in IXT’s opposition to the motion to dismiss, to suggest COSCO N. Am. entered any contract in its own right or undertook in any way to act independently from COSCO, its common-carrier principal.

Given IXT’s allegations, the instant case is more like *OJ Commerce, LLC v. Hamburg Südamerikanische Dampschiffahrts-Gesellschaft A/S & Co KG*, Docket No. 21-11, 2023 WL 3969857 (ALJ June 7, 2023), *aff’d* 2024 WL 4034610 (FMC Aug. 27, 2024). In *OJ Commerce*, complainant’s allegations primarily involved the actions of employees for the common carrier’s United States general agent, and the complaint named both entities as respondents. 2023 WL

3969857, at *1. The evidence showed that the agent was holding out its principal, not itself, to provide transportation by water of cargo between the United States and foreign countries, that the principal assumed responsibility for the transportation, and that it was the principal's vessels that were operating on the high seas. *Id.* at *23. Since the agent was acting on behalf of a disclosed common-carrier principal, it was not liable for the principal's acts and the claims against it were denied. *Id.*

Similarly, in *CertiFit, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, respondent argued that it was not a common carrier, but the agent of a common carrier. Docket No. 23-03, 2025 WL 511910, at *3 (ALJ Feb. 6, 2025). The ALJ considered two theories advanced by complainant as to how the respondent might be liable – that it exceeded its authority or that it intended to be contractually bound in its own right. *Id.* at 14. The ALJ found that the evidence showed that the agent disclosed its status as an agent in the service contract and in communications between the parties. *Id.* at *15. There was additionally no evidence that the agent exceeded the scope of its authority or manifested any intent to be bound in its own name. *Id.* at *17-18. In the absence of any such evidence, the general principle that “an agent of [a common carrier] by definition is not a ‘common carrier’” and thus not subject to the Shipping Act was determinative, and the complaint was denied. *Id.* at *15, *19 (citing *Landstar*, 569 F.3d at 498).

IXT also cites to *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. – Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-17, 2022 WL 602648 (ALJ Feb. 23, 2022), however this order does not address pendant jurisdiction. In that case, the Order of Investigation and Hearing alleged that the purported agent was, in fact, a common carrier subject to the Commission's jurisdiction, having “acted as a principal and carrier in its own name.” *Ocean Network Express*, 2022 WL 602648, at *3. Respondent argued that this was not factually accurate, and the ALJ found that the factual question was “inextricably intertwined with the merits of the case” such that the jurisdictional decision should be deferred until the merits were heard. *Id.* (citing *Herbert v. Nat'l Acad. Of Sciences*, 974 F.2d 192, 198 (D.C. Cir. 1992)).

Here, there are no allegations in the complaint that COSCO N. Am. acted as a common carrier in its own name and no allegations that COSCO N. Am. exceeded the scope of its authority or manifested any intent to be bound as a principal to any agreement with IXT. IXT acknowledges that COSCO N. Am. is an agent for COSCO, an ocean common carrier, and so is not itself a common carrier. On these factual allegations, there is no basis for jurisdiction over any claim against COSCO N. Am. arising under 46 U.S.C. § 41102(c), and so the complaint must be dismissed as to this entity.

III. Order

Upon consideration of the record, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Respondent COSCO Shipping Lines (North America) Inc.'s motion to dismiss, Dkt. 9, is **GRANTED**; it is further

ORDERED that Complainant International Express Trucking's Complaint is **DISMISSED** as to COSCO Shipping Lines (North America, Inc.); it is further

ORDERED that Respondent COSCO Shipping Lines Co., Ltd. file an answer to the complaint no later than 10 days following service of this order; and it is further

ORDERED that the joint status report described in the Initial Order will be due no later than 15 days following service of the answer.

**ALEX
CHINTELLA**

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Alex M. Chintella
Administrative Law Judge